Alipay and WeChat Pay:
Global Mobile Payment Leaders

With more than 1.4 billion consumers worldwide expected to use a mobile wallet to make a proximity mobile payment in 2023, it's no surprise that a slew of companies, including smartphone manufacturers and payment processing companies, are aggressively pursuing global expansion for their mobile payment products. Traditional U.S. tech giants like Google and Apple are aspiring to become the preferred mobile payment platform in as many countries as possible worldwide; however, Chinese tech companies Alibaba and Tencent have a commanding lead in this space, not Google and Apple.

In 2022, more than 775 million people in China were proximity mobile payment users, accounting for about 65% of China's population and more than 56% of the world's total such users. Proximity mobile payments are those that take place at the point of sale, where the person paying for a good or service uses their phone in tandem with NFC, QR codes, Bluetooth, or other, similar technology to make a payment. Not every country has embraced proximity mobile payments, but China has proved to be the perfect environment for them to catch on. In Western countries like the United States and Europe, credit



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cards are still in widespread use and have been for many years, as are other payment systems tied to banks, such as debit cards and checks. However, China has bypassed credit cards almost completely in favor of mobile payment apps.

In 2021, the most current year for which data is available, the value of third-party mobile transactions in China totaled ¥288 trillion (about $41 trillion). In contrast, in the United States, consumers only paid about $415 billion via proximity mobile payments. In nearly every metric, China has outpaced the rest of the world in mobile payments. Only now, with the Chinese mobile payments market nearly completely saturated, have other countries like India begun to grow in mobile payment adoption at a faster rate. India had about 175 million mobile payment users in 2022, a distant second to China's 775 million, but the number of India's mobile payment users is expected to continue growing faster than in China, where growth has flattened to only be about 1.5%. Only about 40% of Indian smartphone users in 2022 used mobile payments, compared to almost 90% of China's smartphone users, suggesting that there is significant room for future growth in India. Other countries in Asia-Pacific with heavy adoption of mobile payments include South Korea (about 48% of smartphone users), Japan (about 36%), Indonesia (about 25%), and Australia (also about 25%). In many countries, the advent of biometric authentication has been a major driver of mobile payment adoption since it greatly reduces the chances of identity theft and speeds up transaction speeds at the point of sale.

Despite China's overwhelming adoption of proximity mobile payments, the country does not have a thriving marketplace of many companies jockeying for dominance; just as in the United States, a small number of tech titans have cornered most of the market. Founded in 1999 by Jack Ma and Peng Lei, Alibaba is China's largest e-commerce company, offering B2B e-commerce on its flagship Alibaba website, C2C e-commerce on its Taobao marketplace, and B2C e-commerce on its Tmall site (see the Chapter 12 opening case for more information on Alibaba). In 2004, Alibaba created Alipay in response to widespread lack of trust between buyers and sellers on its platforms.

In 2011, Ma transferred Alipay out of Alibaba's direct ownership into Ant Financial, a financial services holding company that Ma controlled at the time, but Alibaba continued to have a significant interest in Alipay.

Alipay is an escrow-based system, where funds moving from one party to another are held by Alipay until both sides of the transaction give their full approval. The system helped Alibaba gain the trust of Chinese consumers, and when smartphone adoption began to skyrocket in 2008, Alipay's share of China's mobile payments market also skyrocketed. Between 2010 and 2022, the number of mobile Internet users in China grew from about 265 million to almost 950 million, and the percentage of the population that are digital buyers grew from about 17% of the Chinese population to almost 73%.

In 2019, Alipay reached a milestone, with 1 billion active users worldwide, and by 2022, it had reached 1.3 billion, with more than 700 million in China using it on a monthly basis. Alipay has begun to grow into other areas, including Pakistan, South Korea, Malaysia, Thailand, and Singapore, since the Chinese market has edged closer to full saturation. Alipay has also worked to ensure that Chinese citizens traveling abroad can use Alipay to pay for goods overseas. As the company's user base grew, Alipay diversified its offerings beyond online and mobile payment. For example, Alipay launched the Yu'e Bao money market fund, a service that allowed online shoppers to shift their

payment balances into a money market fund in return for a higher interest rate than they would receive from a bank. Within three years, Yu'e Bao became the largest such fund in the world. Alipay also expanded into the loan business. However, in recent years, both Jack Ma and Ant Financial came under the scrutiny of Chinese regulators. In November 2020, China refused to allow Ant Financial to proceed with an initial public offering; in September 2021, the Chinese government announced a plan to split out Alipay's loan business into a separate company; and in January 2023, Ma was forced to give up majority control. As a result, Alipay has turned its focus to global expansion efforts as a source of new revenue. In 2023, Alipay can be used in more than 110 countries and settle payments in 27 currencies.

In China, Alipay has only one real competitor: WeChat Pay. Just as Alipay arose from Alibaba and its lineup of e-commerce sites, WeChat Pay arose from the incredibly popular text and voice messaging service WeChat, operated by tech titan Tencent Holdings. WeChat Pay (with about 900 million users worldwide) is only a small portion of WeChat's larger ecosystem of services. WeChat offers social network features that resemble Facebook's Feed, featuring a comment system that is more tightly limited to close friends; WeChat can also be used to pay parking tickets, call an ambulance, translate from Chinese to English, pay bills, book train and air transportation, reserve hotel rooms, make charitable donations, and perform online banking with the WeBank online bank—it can even be used as a makeshift dating service. The sheer number of features offered by the WeChat app has made it central to Chinese consumers' lives and has increased the likelihood that they will use WeChat Pay to make mobile payments. WeChat stores money that can be used to pay for goods and services or to send to others; in addition, WeChat also offers an extremely popular "red packet" feature, based on a long-standing Chinese tradition practiced on the Chinese New Year and other significant occasions. Using this feature, users can divide a predetermined amount of money into small virtual "packets" called hongbao and send them to a group chat, allowing members of the group to race to claim each packet. The red packet feature, which subsequently was also adopted by Alipay, has been a significant driver in the popularity of mobile person-to-person (P2P) transactions, with more than 720 million people in China (65% of the population) sending or receiving money via a mobile payment app in 2022.

WeChat has made significant inroads against Alipay's dominance in the Chinese market. One technique it has used to achieve this is partnerships with other prominent Chinese services, such as Chinese rideshare service Didi Chuxing, with whom WeChat Pay has an exclusive partnership. WeChat has a similar arrangement with the Meituan Waimai on-demand food delivery service, which no longer accepts Alipay due to its partnership with WeChat. Walmart's Chinese outlets also do not accept Alipay for these reasons. WeChat has also sought partnerships with foreign businesses, such as Japan's Line messaging service; WeChat partnered with Line Pay in 2018 to make it easier for Chinese tourists in Japan to make mobile payments. WeChat has grown rapidly worldwide; in 2023, WeChat Pay could be used in 69 countries and regions.

To that end, WeChat has developed a cross-border payment system in partnership with payment firm Travelex to allow Chinese tourists to shop overseas. Chinese customers of U.S. retailers can use Travelex Pay to purchase goods; the money in their WeChat Pay accounts is used to generate a digital gift card in U.S. dollars, which is then

immediately spent to purchase the desired items. Many of the biggest U.S. retailers that are popular with Chinese tourists are participating in the plan. The appeal is that it helps tourists avoid having to carry a lot of cash, and Chinese credit cards can trigger large fees for foreign transactions, which this method avoids. WeChat and Alipay have both stated that their international expansion is focused on allowing Chinese travelers abroad to use the same features they are used to in China, but industry analysts suspect that both companies have greater ambitions for the U.S. market, which still lags far behind in mobile payment adoption compared to China.

Both WeChat and Alipay are also similar in the enormous trove of data they possess on their users. Because Alibaba and WeChat are so central to Chinese consumers' lives, both companies know a great deal about what their users buy, who their friends are, what their credit scores are, and much, much more. The Chinese government has seemingly completely unfettered access to WeChat messages, even retrieving deleted messages when they deem it necessary, and has also heavily invested in and supported Alibaba. Some analysts speculate that because privacy is simply not as significant a cultural value in China as it is in other countries, WeChat and Alipay are in a better position to monetize their trove of user data than other companies might be.

While Alipay and WeChat Pay have been big winners in China's mobile payment marketplace over the last decade, American tech companies have been left to play catchup. Apple in particular has a small fraction of users using Apple Pay worldwide compared to both Alipay and WeChat Pay; WeChat also functions similarly on the iPhone and Android, making the two operating systems mostly indistinguishable to Chinese smartphone users. For that reason, Chinese consumers often prefer the lower-cost Android, at Apple's expense. Google has had its own problems with China over the years, though, including philosophical objections to China's content censorship policy. It seems unlikely that Google Pay, which has recently been rebranded as Google Wallet, will make a dent in China's mobile payment marketplace without the ability to create a similar ecosystem of products and services to the ones that Alibaba and WeChat can offer.

Around the world, other payment systems are gaining traction. For example, in India, there are three major players: PhonePe, Google Pay, and Paytm, with PhonePe accounting for more than 47% of the payments volume processed by India's bank-to-bank mobile payment system. In 2023, PhonePe, which claims to serve one-quarter of consumers in India, secured an additional $200 million in financing from majority investor Walmart, based on a valuation of $12 billion, in order to help it diversify into other business areas, such as additional financial services as well as online shopping. Google Pay accounts for one-third of the payments volume processed by India's bank-to-bank mobile payment system. Paytm, with about 70 million users, had previously been backed by Alibaba, but in 2023, Alibaba sold its stake in Paytm in order to focus on Alipay. Both PhonePe and Google Pay are likely to be impacted by the National Payments Corporation of Inda's Unified Payments Interface (UPI) market share rule, scheduled to take effect on December 31, 2024, which will bar third-party mobile payment providers from exceeding 30% of the payments volume processed by UPI (Paytm, which has a banking license, is exempt from the rule).

In Malaysia, the popular ridesharing service Grab has continued to expand, opening its platform to third-party services to develop more functionality akin to WeChat

SOURCES: "About Octopus Card," Octopus.com.hk, accessed April 3, 2023; "PhonePe Bags $200M from Walmart in Latest Funding Haul on Path to Raise $1B," by Will Paige, Insider Intellgence/eMarketer, March 20, 2023; "Mobile Phone Internet Users and Penetration in China," Insider Intelligence/eMarketer, March 2023; "Alibaba Sells Remaining Stake in Paytm to Focus on Growing Alipay," by Adriana Nunex, Insider Intelligence/eMarketer, February 14, 2023; "How Ant Fell into Fintech's Middle-Income Trap," by Robyn Mak, Reuters.com, February 6, 2023; "Transaction Size of Third-Party Mobile Payment Market in China 2013-2021, by Daniel Slotta, Statisa.com, January 4, 2023; "Google Pay Gets Breathing Room after India's NPCI Extends Market Cap Rule Deadline," by Adriana Nunex, Insider Intelligence/eMarketer, December 5, 2022; "Digital Buyers, China," Insider Intelligence/eMarketer, December 2022; "Proximity Mobile Payment Users, Worldwide," Insider Intelligence/eMarketer, July 2022; "Proximity Mobile Payment Users by Country," Insider Intelligence/eMarketer,

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as well as launching the GrabPay mobile wallet and GrabFood food delivery service. Boost is another popular payment service in Malaysia. In Singapore, DBS PayLah and SingtelDASH are in widespread use, as is GrabPay.

Another important battleground for mobile payment providers is Hong Kong, which is unique in the region in its reliance on cash and credit cards. As a result, Western tech companies are slightly more competitive with Alipay and WeChat in the region. On the other hand, Hong Kong citizens have widely adopted the Octopus stored value card, which is accepted by convenience stores, restaurants, and public transit. Launched in 1997, there are more than 20 million Octopus cards in circulation, and it is used by more than 98% of the population. Mobile payment companies seeking to expand into Hong Kong and tap into its lucrative consumer base will require at least as competitive an option as Octopus.

Alipay and WeChat are well positioned going forward, with massive user bases in China, profitable business models thanks to their vibrant ecosystems of services, and the backing of two of the biggest tech companies in the world in Alibaba and Tencent. If Alipay and WeChat Pay are unsuccessful in growing into a particular region, they could simply opt to go the route of strategic acquisitions; Alipay and its parent Ant Financial have already begun doing this. However, both companies face challenges in their attempts to expand into Western markets, where credit cards are already in widespread use and are trusted by consumers. Without a sufficiently compelling reason, customers in Europe and the United States are unlikely to ditch their credit cards and switch not just to Alipay or WeChat Pay, but even to U.S.-based services like Apple Pay and Google Pay.

However, perhaps the biggest challenge both companies face originates from the Chinese government. In January 2021, China's central bank, the People's Bank of China (PBOC) announced drafts of tough new antitrust regulation that would allow the PBOC to break up a non-bank institution such as Ant Financial or Tencent if the institution severely hinders the healthy development of the payment service market. In addition, the PBOC has developed a national digital currency, Digital Currency Electronic Payment (DCEP), which it asserts is necessary to combat the dominance of Alipay and WeChat Pay, and to bring broader access to proximity mobile payments to a greater percentage of the country's population. Alipay and WeChat Pay are likely to find themselves in continuing contention with both DCEP and the PBOC in the coming years.

Case Study Questions

1. Why has China been an ideal environment to support mobile payment systems?
2. How has Alipay changed from its original iteration?
3. How has WeChat grown to rival Alipay in mobile payment market share in China?
4. Why have countries like the United States been slow to adopt mobile payment systems?